

## **Comments on the Trade-Through Rule and Locked and Crossed Markets Provisions of Regulation NMS**

**File No. S7-2026-20**

Thank you for the opportunity to comment on the proposal to rescind Rule 611 and Rule 610(e). Revisiting these provisions is appropriate given the evolution of market structure and technology. The observations below focus on several areas where additional explanation or targeted analysis would help market participants understand the likely effects of the proposal.

### **Best execution as a practical substitute**

The proposal relies in part on the view that best execution obligations, supported by enhanced Rule 605 reporting, will guide routing behavior once trade-through protection is removed. Because best execution is principles-based and assessed across a broker's flow, it would be helpful for the Commission to describe how it expects this framework to operate as a real-time constraint on routing decisions.

Retail brokers evaluate wholesalers using average execution quality metrics, and wholesalers manage execution quality across their entire flow. This structure allows for cross-subsidization: some orders may receive better prices and others less favorable prices while overall averages remain acceptable. The proposal acknowledges this dynamic and notes the role of improved Rule 605 statistics, but it does not fully address how these incentives will function without explicit price-protection requirements. Additional clarity on how the Commission expects to monitor and address systematic per-order execution shortfalls would be useful, particularly for smaller orders where the incentive to seek incremental price improvement is limited. Nothing in these comments is intended to suggest that wholesalers would reduce execution quality if Rule 611 were rescinded; the point is simply that the proposal would benefit from a clearer explanation of how best execution and Rule 605 reporting are expected to operate as the primary safeguards in the new framework.

### **Fragmentation and the distribution of order flow**

The proposal suggests that rescinding Rule 611 may reduce fragmentation of displayed liquidity by lowering the incentive to connect to every exchange. At the same time, it recognizes that off-exchange trading has grown significantly and may continue to grow. These trends point in different directions, and the proposal would benefit from a clearer explanation of how the Commission expects the overall distribution of trading activity to evolve.

If institutional trading moves further off exchange or wholesalers internalize more flow, fragmentation could increase. If exchanges respond with innovations that attract order flow, fragmentation could decline. Outlining the scenarios the Commission considers most plausible would help market participants assess the likely outcomes.

## **Displayed liquidity and quoting incentives**

The proposal concludes that any effect on displayed liquidity and price efficiency is likely to be limited. That conclusion depends on how liquidity providers adjust their quoting behavior once trade-throughs are permitted. The proposal notes that liquidity providers may widen spreads if they expect greater adverse selection and that odd-lot quotes inside the NBBO are frequently traded through today.

A more detailed discussion of how spreads, displayed sizes, and quote duration might change under different conditions would make the analysis more complete. Quantifying the sensitivity of posted liquidity to changes in expected adverse selection would help clarify the potential impact on execution quality.

## **Exchange connectivity and competitive dynamics**

The proposal anticipates that some broker-dealers may disconnect from smaller exchanges and reduce their connectivity and data costs, while also stating that it does not expect exchanges to exit the market. These conclusions depend on assumptions about the number of disconnections, the associated cost savings, and the revenue effects on smaller exchanges.

Providing the assumptions behind the disconnection estimates and presenting outcomes under low, medium, and high disconnection scenarios would help readers understand the basis for the Commission's expectations and evaluate the resilience of smaller exchanges under the proposed framework.

## **Use and limits of odd-lot evidence**

The proposal uses odd-lot trade-through statistics to illustrate that trade-throughs of unprotected quotes can have modest cost implications. Because odd-lot quotes historically were not protected and SIP dissemination of top-of-book odd-lot quotes began only recently, it would be helpful for the Commission to explain how it views the relationship between odd-lot behavior and the likely behavior of larger displayed sizes if protection is removed.

Odd-lot patterns are informative, but they may not fully predict how market participants will treat larger displayed sizes. A brief sensitivity analysis showing how conclusions change if round-lot behavior differs from odd-lot behavior would add clarity.

### **Request for targeted analyses and monitoring clarity**

To make the proposal's conclusions more transparent, it would be helpful for the Commission to publish scenario analyses showing the effects of different disconnection rates on exchange revenues, displayed liquidity, and retail execution quality. Clarifying the monitoring tools and Rule 605 metrics the Commission will rely on to identify adverse outcomes after any rescission would also assist market participants in understanding how execution quality will be overseen in the new framework.

Michael Ravnitzky  
Silver Spring, Maryland